

February Inflation – getting better then came war

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By Justin Smirk

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A short video from Justin Smirk on inflation and the economic outlook.

The softest update on core inflation in just over half a year suggests that inflationary pressures were moderating at the start of 2026, prior to the Middle East conflict. This data predates recent Middle East developments which we see lifting inflation to around 5½%yr by mid-year. By contrast, the trimmed mean, which will exclude fuel volatility is likely to peak around to 3½%yr.

For more information please refer to our scenario analysis on the Middle East conflict, please click  here. (PDF 564KB) (PDF 564KB)

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